

D551

Fraud and Forensic Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A bookkeeper at a busy dental practice is behind on her mortgage. She alone opens the mail, deposits checks and posts payments, and she tells herself she will pay back anything she borrows. The practice recently moved to a new office downtown. Which fraud triangle element can management most directly reduce?

- A. All three elements equally.
- B. Opportunity, by splitting mail opening, deposits and posting among different people.
- C. Rationalization, which a written code of ethics eliminates.
- D. Pressure, by paying off the bookkeeper's mortgage.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

Fraud examiners at a firm with offices in four states review a case in which the CFO booked fake year-end sales to meet analyst targets. The firm's lead examiner holds three certifications. Under the ACFE classification, what type of fraud is this, and how does it typically compare with other types?

- A. Financial statement fraud; the most common type.
- B. Asset misappropriation; the most common and costliest type.
- C. Financial statement fraud; the least common type but with the highest median loss.
- D. Corruption, because an executive was involved.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

Which occupational fraud category is the most frequent but has the lowest median loss?

- A. Cybercrime.
- B. Corruption.
- C. Financial statement fraud.
- D. Asset misappropriation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A county government with a new ERP system and an annual external audit wants to find fraud faster. Occupational fraud studies consistently show which method detects the most cases?

- A. Automated ERP controls, which catch nearly all fraud.
- B. The external audit.
- C. Tips, especially through a hotline.
- D. Internal audit.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

An analyst tests 8,000 vendor invoice amounts at a hospital chain. The invoices came from 240 vendors across six states. Under Benford's law, about what share of amounts should begin with the digit 1?

- A. About 30%.
- B. About 11%.
- C. Exactly 30.1%, and any deviation proves fraud.
- D. About 4.6%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

In a Benford test, invoice amounts beginning with 9 make up 12% of the population. What share is expected, and what does the result suggest?

- A. The excess proves fraud.
- B. About 4.6% is expected; the excess is a red flag worth investigating, such as amounts kept just under an approval limit.
- C. About 30% is expected, so 9s are underrepresented.
- D. About 11% is expected, so the result is normal.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

At a building-supply company, the receivables clerk pockets Customer A's \$5,000 payment, then applies Customer B's later payment to A's account, and C's to B's. The clerk never takes vacation. The company's sales grew 8% this year. What is the scheme, and which control would best expose it?

- A. Lapping; mandatory vacations and customer statements mailed by someone independent of receivables.
- B. Check kiting; daily bank reconciliations.
- C. Skimming cash sales; cameras over the registers.
- D. Lapping; raising the sales growth target.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

At a nonprofit with a \$3 million budget and an award-winning board, one employee can add new vendors to the master file and also approve payments to them. Which fix best addresses the risk?

- A. Separate payment approval from the monthly bank reconciliation only.
- B. Assign vendor setup and payment approval to different people.
- C. Have a manager review a sample of payments once a year.
- D. No change is needed at an organization with a strong board.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

An internal auditor finds that the same person receives inventory at the dock, updates the inventory records, and counts inventory at year-end. Which incompatible duties are combined?

- A. Authorization and recordkeeping.
- B. Authorization and custody.
- C. None, since all three tasks involve inventory.
- D. Custody and recordkeeping.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A forensic accountant is hired by a plaintiff's law firm to compute lost profits in a contract dispute. The firm pays a premium hourly rate and hopes for a large damages figure. The accountant has testified in twelve prior cases. What is the accountant's duty?

- A.** Decide whether the contract was breached.
- B.** Produce the highest defensible figure, since the law firm is the client.
- C.** Give an objective, well-supported damages opinion using reliable methods, even if it is lower than the client hopes.
- D.** Reuse damages figures from past cases to save time.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

An investigator uses the net worth method on a purchasing manager. Net worth rose from \$150,000 to \$290,000 during the year. Known living expenses were \$60,000 and reported salary was \$110,000. The manager drives a leased luxury SUV and posts vacation photos online. What is the unexplained income?

- A.** \$310,000
- B.** \$200,000
- C.** \$30,000
- D.** \$90,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

Using the net worth method, an investigator finds \$50,000 of unexplained income. Net worth rose \$80,000 and known income was \$95,000. What were living expenses?

- A.** \$65,000
- B.** \$50,000
- C.** \$35,000
- D.** \$145,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A bookkeeper at a busy dental practice is behind on her mortgage. She alone opens the mail, deposits checks and posts payments, and she tells herself she will pay back anything she borrows. ~~The practice recently moved to a new office downtown.~~ Which fraud triangle element can management most directly reduce?

Target word: controllable element **Decides:** One person holds incompatible duties.

A	Absolute language	Management's leverage is far greater over opportunity than over the other two.
B	Correct	Controls remove the opening; opportunity is the element management controls.
C	Confusion set	A code helps culture, but it cannot remove a private justification.
D	Adjacent category	Personal financial pressure is largely outside the employer's control.

2. Answer C Concept 2

Fraud examiners at a firm ~~with offices in four states~~ review a case in which the CFO booked fake year-end sales to meet analyst targets. ~~The firm's lead examiner holds three certifications.~~ Under the ACFE classification, what type of fraud is this, and how does it typically compare with other types?

Target word: category and profile **Decides:** Falsified financial statements.

A	Inverted operation	Right category, reversed frequency.
B	Confusion set	Nothing was stolen, and misappropriation has the lowest median loss.
C	Correct	Fake revenue misstates the statements; this category is rare but costly.
D	Adjacent category	Corruption involves bribes or conflicts of interest, not rank.

3. Answer D Concept 2 · transfer

Which occupational fraud category is the most frequent but has the lowest median loss?

Target word: category from profile — reverse **Decides:** Most frequent, lowest median loss.

A	Confusion set	Not one of the three ACFE occupational fraud branches.
B	Adjacent category	Corruption falls between the other two on both counts.
C	Inverted operation	That is the rarest and costliest.
D	Correct	Theft of cash and assets is the most common and least costly per case.

4. Answer C Concept 3

A county government ~~with a new ERP system and an annual external audit~~ wants to find fraud faster. Occupational fraud studies consistently show which method detects the most cases?

Target word: top detection method **Decides:** Tips lead every detection ranking.

A	Absolute language	Automated monitoring helps but catches a minority of cases.
B	Camouflage	External audits detect a small share of occupational frauds.
C	Correct	Tips from employees, customers and vendors detect the largest share of frauds.
D	Adjacent category	A meaningful source, but well behind tips.

5. Answer A Concept 4

An analyst tests 8,000 vendor invoice amounts at a hospital chain. ~~The invoices came from 240 vendors across six states.~~ Under Benford's law, about what share of amounts should begin with the digit 1?

Target word: expected first-digit frequency **Decides:** Benford's expected share for 1 is $\log_{10}(2)$.

A	Correct	$\log_{10}(1 + 1/1) \approx 30.1\%$.
B	Confusion set	Assumes each of nine digits is equally likely.
C	Absolute language	Benford gives an expectation; deviations are red flags to investigate.
D	Inverted operation	That is the expected share for 9.

6. Answer B Concept 4 • transfer

In a Benford test, invoice amounts beginning with 9 make up 12% of the population. What share is expected, and what does the result suggest?

Target word: expected share for 9 and meaning **Decides:** Expected $\approx 4.6\%$; 12% is a large excess.

A	Absolute language	Deviations call for investigation, not a conclusion.
B	Correct	A spike in 9s often reflects amounts pushed below a round threshold.
C	Inverted operation	30% is the expectation for 1, not 9.
D	Confusion set	Uses a uniform distribution instead of Benford's.

7. Answer A Concept 5

At a building-supply company, the receivables clerk pockets Customer A's \$5,000 payment, then applies Customer B's later payment to A's account, and C's to B's. The clerk never takes vacation. ~~The company's sales grew 8% this year.~~ What is the scheme, and which control would best expose it?

Target word: scheme and control **Decides:** Rolling misapplication of customer payments.

A	Correct	The scheme collapses when someone else handles the accounts or customers see mismatches.
B	Confusion set	Kiting exploits float between bank accounts, not customer accounts.
C	Adjacent category	Skimming takes unrecorded sales; these are recorded receivables.
D	Camouflage	Sales growth is irrelevant to hiding misapplied payments.

8. Answer B Concept 6

At a nonprofit ~~with a \$3 million budget and an award-winning board,~~ one employee can add new vendors to the master file and also approve payments to them. Which fix best addresses the risk?

Target word: which duties to separate **Decides:** Vendor setup and payment approval sit with one person.

A	Confusion set	Leaves the vendor-setup conflict in place.
B	Correct	Splitting the two stops one person from creating and paying a fake vendor.
C	Adjacent category	A late detective check does not remove the incompatible duties.
D	Camouflage	Board quality does not replace transaction-level controls.

9. Answer D Concept 6 · transfer

An internal auditor finds that the same person receives inventory at the dock, updates the inventory records, and counts inventory at year-end. Which incompatible duties are combined?

Target word: name the conflict **Decides:** Physical handling of goods plus the records.

A	Adjacent category	Again assumes an approval role that is not described.
B	Confusion set	Nothing in the stem involves approving transactions.
C	Dropped element	Drops the principle that the functions, not the asset, must be separated.
D	Correct	Holding the goods and keeping their records lets one person hide shortages.

10. Answer C Concept 7

A forensic accountant is hired by a plaintiff's law firm to compute lost profits in a contract dispute. The firm pays a premium hourly rate and hopes for a large damages figure. ~~The accountant has testified in twelve prior cases.~~ What is the accountant's duty?

Target word: expert's role **Decides:** Experts owe objectivity, not advocacy.

A	Adjacent category	Liability is a legal question for the court, not the accountant.
B	Confusion set	Confuses the expert's role with the attorney's advocacy.
C	Correct	Credibility and admissibility depend on independence and sound method.
D	Camouflage	Past testimony does not supply facts for this case.

11. Answer D Concept 8

An investigator uses the net worth method on a purchasing manager. Net worth rose from \$150,000 to \$290,000 during the year. Known living expenses were \$60,000 and reported salary was \$110,000. ~~The manager drives a leased luxury SUV and posts vacation photos online.~~ What is the unexplained income?

Target word: unexplained income **Decides:** Increase + living expenses – known income.

A	Inverted operation	Adds the salary instead of subtracting it.
B	Adjacent category	That is total income; known salary still has to be subtracted.
C	Dropped element	Leaves out living expenses: \$140,000 – \$110,000.
D	Correct	\$140,000 increase + \$60,000 living expenses – \$110,000 salary = \$90,000.

12. Answer A Concept 8 · transfer

Using the net worth method, an investigator finds \$50,000 of unexplained income. Net worth rose \$80,000 and known income was \$95,000. What were living expenses?

Target word: solve for living expenses **Decides:** $\$80,000 + X - \$95,000 = \$50,000$.

A	Correct	$X = \$50,000 + \$95,000 - \$80,000 = \$65,000$.
B	Wrong stem number	That is the unexplained income from the stem.
C	Inverted operation	Flips the sign on known income.
D	Dropped element	Drops the increase in net worth: $\$50,000 + \$95,000$.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	9	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	The fraud triangle	Fraud needs pressure, opportunity and rationalization; controls attack opportunity, the element management controls most directly.	Thinking management can remove an employee's personal pressure or rationalization.	A story with money trouble, unchecked access, and a self-justifying thought.
2	Occupational fraud categories	Asset misappropriation is most common with the lowest median loss; financial statement fraud is least common with the highest median loss; corruption sits between.	Assuming the most common scheme is also the costliest.	Who committed it and what was falsified: assets, records, or influence.
3	How fraud is detected	Tips, often through hotlines, detect more occupational fraud than any other method.	Relying on the external audit or automated controls to find fraud.	A question about the most effective or most common detection method.
4	Benford's law	In many natural data sets the first digit is 1 about 30% of the time and 9 about 4.6%; large deviations are red flags to investigate, not proof.	Expecting each first digit to appear one-ninth of the time, or treating a deviation as proof.	A large population of amounts and a first-digit test.
5	Lapping	Lapping hides a stolen receivable payment by applying later customers' payments to earlier accounts; mandatory vacations and independent customer statements expose it.	Confusing lapping with check kiting or skimming of cash sales.	Payments applied to the wrong customer in a rolling pattern; an employee who never takes leave.
6	Segregation of duties	Separate authorization, custody of assets, and recordkeeping so no one person can commit and hide an error or theft.	Relying on after-the-fact review instead of splitting incompatible duties.	One person can both set something up and pay or record it.
7	The forensic accountant as expert	An expert gives an objective, well-supported opinion using reliable methods; advocacy belongs to the attorney and legal conclusions to the court.	Acting as the client's advocate or deciding the legal question.	An accountant retained by one side of a lawsuit.
8	Net worth method	Unexplained income = increase in net worth + living expenses – known income sources.	Leaving out living expenses or subtracting them.	Beginning and ending net worth, spending, and reported income.

Course scope (public description): Fraud and Forensic Accounting provides learners with an in-depth understanding of how fraud and forensic investigations are part of the accounting profession. This course covers the various types of fraud and their impact on organizations, as well as the detection, investigation, and prevention of fraud. This course also introduces the role of forensic accountants in the legal system and the use of forensic accounting techniques in financial investigations. The course will include scenarios and hands-on exercises to provide learners with practical experience in detecting and investigating fraud.